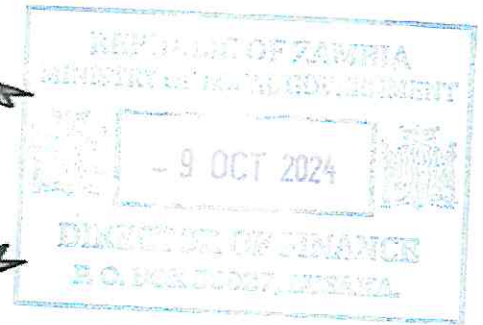
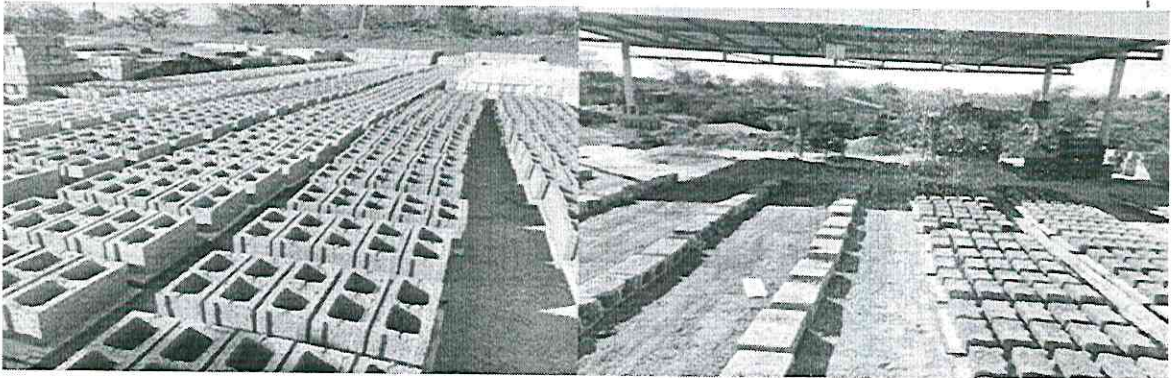
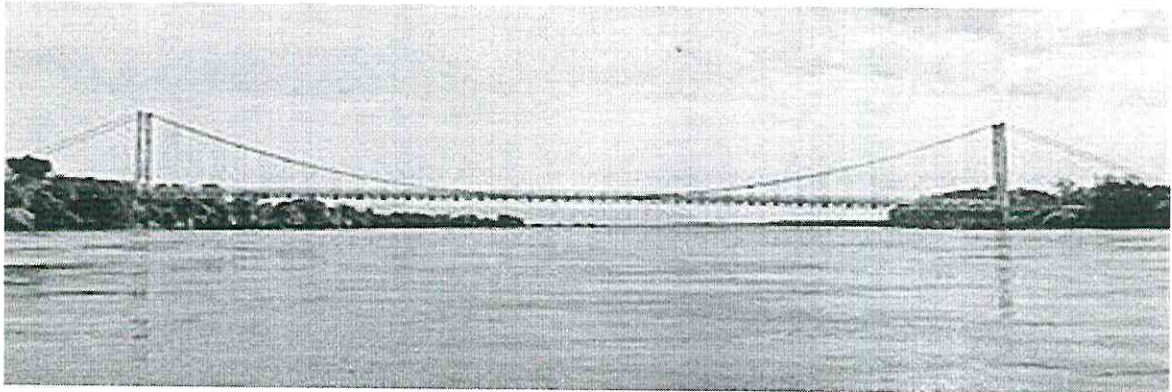




CHIRUNDU TOWN COUNCIL



**FINANCIAL STATEMENTS FOR THE YEAR ENDED
31st DECEMBER 2023**

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2023 which disclose the sources, utilization and balances of cash for Chirundu Town Council during the period under review.

Background and Location of the Council

The Council is located in Chirundu District in Lusaka Province of Zambia off Lusaka-Chirundu (T2) Road. The District is about 135 Kilometer (Km) south of the Nation's capital, Lusaka. The latitudinal and longitudinal position of Chirundu District is 16.03S:28.85E. Chirundu District has a total area of 2,265 square Kilometers (km²). As at the last Census of 2022, Chirundu District had a population of 78,780 people. The population has increased exponentially after the attainment of the District status. The District has (3) Chiefs namely Chipepo, Sinadambwe and Sikoongo.

Chirundu was officially declared a District by His Excellency The President Michael Chilufya Sata in January 2012. The District was initially part of Siavonga District in Southern Province, but now falls within the Lusaka Province, Chirundu Town Council was established on 31st August, 2012 through Statutory Instrument No. 41 of 2012. This Town Council has been in existence for over [11] years today. Its core mandate is not different from any other Local Authority enshrined in the Local Authority enshrined Government Act Cap 281 of the Laws of Zambia – schedules of functions (i), (ii) and (iii) summed up as Service Provision.

Vision:

Its vision is to be a leading Local Authority in the provision of quality services and creating an environment for economic growth and prosperity.

Mission Statement:

Its vision is to Provide World-Class Town Services through Operational Excellence and a Culture of Innovation while its mission is to provide Exceptional service for an Exceptional Community.

The address of the registered office of Chirundu Town Council (CTC) is as follows:

Tukamona Building,
P.O Box 30,
Civic Centre
CHIRUNDU

REPORT OF THE COUNCIL

Composition of the Council

Chirundu Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act, No. 2 of 2019 of the Laws of Zambia. As a Local Authority, the Town Council administers the Chirundu Town.

The Council is composed of an elected Council Chairperson, twelve (12) elected Councillors from twelve (12) Wards, and three (3) Chiefs as provided for under Article 153 (2)(c) of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2021 to serve a five-year term up to 2026. The Vice Council Chairperson was elected from among the Councillors in 2021 for the period of two and half years.

The Councillors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Nevers M. Muchindu	Male	Council Chairperson	Not applicable
2	Sharon Dimba Palicha	Female	Vice Chairperson	N'gombe Ilede
3	Norman Nalube	Male	Councillor	Chirundu Central
4	Wisdom Hakubija	Male	Councillor	Ibbewmunyama
5	Hendrex Mboози	Male	Councillor	Musaya
6	Masauso Sikaumbi	Male	Councillor	Sikoongo
7	Herold Hatyoka	Male	Councillor	Lusitu
8	Benzia Siamuluwa	Male	Councillor	Nkandabbwe
9	Albert Muzuma	Male	Councillor	Kapululira
10	Robson Makwamba	Male	Councillor	Mushungu
11	Lucky Steward Hakooma	Male	Councillor	Chirundu West
12	Obrey Sintambo	Male	Councillor	Kanyanga
13	Hazibwene Park	Male	Councillor	Njame
14	Edwin Siananzu	Male	Chief Chi pepo	N/A
15	Sinyimeenda Choompwe (Late)	Male	Chief Sinandambwe	N/A
16	Isaac Muzokela (Late)	Male	Chief Sikoongo	N/A

The District also has one (1) elected Member of Parliament for Chirundu Constituency. The Member of Parliament who held office during the year was:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon.Dougloos Siakalima	Male	Chirundu

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Patrick Kasambila was the District Commissioner for Chirundu District.

REPORT OF THE COUNCIL

The Council Secretariat

The Secretariat of Chirundu Town Council is headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Council Secretary is assisted by four (4) Heads of Departments responsible for Finance, Planning, Works and Human Resource and Administration and two (2) units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No. 2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2023	2022
	Kwacha	Kwacha
Cash Receipts	57,868,462	43,982,428
Payments	61,291,747	28,353,881
Increase/(Decrease) in Cash and Cash Equivalents	<u>(3,423,285)</u>	<u>15,628,547</u>

Key Policies Adopted During the Year

The Council adopted the following policy during the year:

- Upward adjustment of Fees and Charges by 8.2% to cater for the increased cost of service delivery.

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to K15,097,519 while the Council did not receive any equipment from the Government during the year. However, a total of K936,751 and K115,681 were withheld by the Ministry of Local Government and Rural Development for the construction of a CDF Chief Palace and related insurance costs respectively.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The total number of employees at the beginning of the reporting period was 163, while the total number of employees at the end of the period was 155. The total amount spent on employees' remuneration during the year was K14,807,445.

REPORT OF THE COUNCIL

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No. 36 of 2010 and took appropriate measures to safeguard their safety and health.

Traditional Ceremonies, Public Functions & Recreational Activities

The Council incurred a total of K270,956 during the financial year towards the participation of traditional ceremonies, public functions and various sporting activities under staff welfare.

Ward Development Fund (WDF)

The Council further incurred a total of K124,076 towards the annual Ward Development Fund (WDF) developmental programs which included the provision of boreholes and weir dam excavations.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Signature:.....

Name: NEVERS M. MUCHINDI

Position: Council Chairperson

Date: 30 SEPTEMBER 2024



STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Chirundu Town Council is responsible for preparing the financial statements for the year ended 31st December 2023 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No. 1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Chirundu Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December 2023.

Signed on behalf of the Council on 30.09.24 by;

Name: KEERS. M. MUCHINDU

Signature: [Signature]

Position: Council Chairman

Name: E. M. CHEEMBO

Signature: [Signature]

Position: Council Secretary

Name: KEBBY KAZOKA

Signature: [Signature]

Position: Director Finance





REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

INDEPENDENT AUDITOR'S REPORT

**STAND No.7951
HAILE SELASSIE AVENUE,
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA**

**E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771**

To the Minister – Ministry of Local Government & Rural Development

Report on the Audit of the Financial Statements for Chirundu Town Council for the Financial Year Ended 31st December 2023

Opinion

I have audited the financial statements for Chirundu Town Council for the financial year ended 31st December 2023 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information.

In my opinion, the accompanying financial statements for Chirundu Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December 2023 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the Financial Statements section of my report. I am independent of Chirundu Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements. Key audit matters are selected from the matters communicated to those charged with governance but are not intended to represent all matters that were discussed with them.

However, I have determined that there are no key audit matters to communicate.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No.2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence; and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

In communicating with those charged with governance, I also determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

The Council is required, under Section 45 of the Local Government Act No. 2 of 2019 to prepare a Statement of Comprehensive Income and a Statement of Financial Position. However, the Council prepared the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) using Cash Basis IPSAS in line with the LAAPS.

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE

ACTING AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL

DATE: 04/10/2024

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2023

	Note	2023 Kwacha	2022 Kwacha
RECEIPTS			
Local Taxes	2	325,162	695,694
Fees and Charges	3	19,134,695	8,638,097
Licences	4	220,900	183,360
Levies	5	163,188	140,638
Permits	6	1,522,608	1,164,859
Local Government Equalisation Fund	7	8,833,102	8,731,522
Constituency Development Fund	8	27,261,470	23,739,911
Other Grants	9	12,020	277,720
Borrowings	10	-	-
Commercial Venture	11	77,959	-
Other Receipts	12	317,359	410,627
TOTAL RECEIPTS		57,868,462	43,982,428
PAYMENTS			
Personal Emoluments	13	14,807,445	11,683,871
Use of Goods and Services	14	15,921,998	12,865,891
Financial Charges	15	-	-
Social benefits	16	9,500,657	-
Non-financial Assets Acquisition	17	15,097,519	3,099,650
Financial Assets	18	5,964,128	44,055
Loan Repayments	19	-	-
Other Payments	20	-	660,413
TOTAL PAYMENTS		61,291,747	28,353,881
Increase/(decrease) in Cash		-3,423,284	15,628,547
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	21,055,460	5,426,913
Cash at the end of the year	22	17,632,176	21,055,460

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Signature:

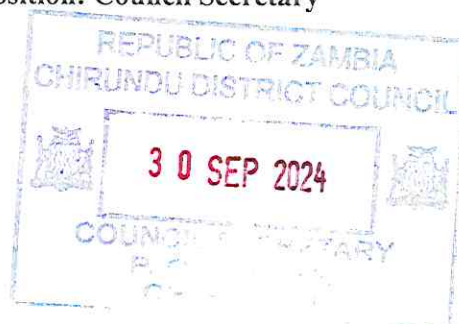
Position: Council Chairperson

Signature:

Position: Director Finance

Signature:

Position: Council Secretary



STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR ENDED 31ST DECEMBER 2023

	Original Budget	Adjustments	Final Budget	Actual Amounts	Performanc e	Variance	% Variance
	Kwacha	Kwacha	Kwacha	Kwacha	%	Kwacha	
RECEIPTS							
Local Taxes	450,730	-	450,730	325,162	72%	(125,568)	-28%
Fees and Charges	12,154,054	-	12,154,054	19,134,695	157%	6,980,641	57%
Licences	323,550	-	323,550	220,900	68%	(102,650)	-32%
Levies	141,750	-	141,750	163,188	115%	21,438	15%
Permits	1,920,300	-	1,920,300	1,522,608	79%	(397,692)	-21%
Local Government Equalisation Fund	9,420,695	-	9,420,695	8,833,102	94%	(587,593)	-6%
Constituency Development Fund	28,300,000	-	28,300,000	27,261,470	96%	(1,038,530)	-4%
Other Grants (Grant in Lieu of Rates)	150,000	-	150,000	12,020	0%	(137,980)	0%
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	-	-	-	77,958	100%	77,958	0%
Other Receipts	204,686	-	204,686	317,360	155%	112,674	55%
TOTAL RECEIPTS	53,065,765	-	53,065,765	57,868,462	109%	4,802,698	9%
PAYMENTS							
Personal Emoluments	13,087,048	-	13,087,048	14,807,445	113%	1,720,397	13%
Use of Goods and Services	11,359,006	-	11,359,006	15,921,998	140%	4,562,992	40%
Financial Charges	-	-	-	-	0%	-	0%
Social Benefits	7,527,800	-	7,527,800	9,500,657	0%	1,972,857	26%
Non-Financial Assets Acquisition	17,865,711	-	17,865,711	15,097,519	85%	(2,768,192)	-15%
Financial Assets	3,226,200	-	3,226,200	5,964,128	185%	2,737,928	85%
Loan Repayments	-	-	-	-	0%	-	0%
Other Payments	-	-	-	-	0%	-	0%
TOTAL PAYMENTS	53,065,765	-	53,065,765	61,291,747	116%	8,225,982	16%
Increase/(Decrease in Cash				(3,423,284)		(3,423,284)	

The composition of budget adjustments and explanations of major variances are provided in Note 23

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2023**

		2023	2022
		Kwacha	Kwacha
RECEIPTS			
Funding	7(a)	8,833,102	8,731,522
TOTAL RECEIPTS		8,833,102	8,731,522
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		7,066,482	6,985,218
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		-	-
Goods and Services		-	156,258
Administrative Costs		-	-
Other Costs		-	-
Sub-Total		7,066,482	7,141,476
Capital Expenditure Payments:	7(c)		
Infrastructure Development		-	-
Rehabilitation Works		-	-
Asset Acquisition		2,377,040	3,099,650
Other Project Admin/Costs		-	-
Sub-Total		2,377,040	3,099,650
TOTAL PAYMENTS		9,443,522	10,241,126
Increase/(decrease) in cash		-610,420	-1,509,604
Foreign Exchange Losses		-	-
Cash at beginning of the year		1,406,378	2,915,982
Cash at the end of the year		795,958	1,406,378

Note 7 explains the composition and other details relating to the various elements included in this Statement.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR THE YEAR ENDED 31ST DECEMBER 2023**

	Notes	2023 Kwacha	2022 Kwacha
RECEIPTS			
Funding	8(a)	27,261,470	23,739,911
Loan Repayments	8(b)	-	-
Other Sources	8(c)	241,963	-
TOTAL Funding		27,503,433	23,739,911
PAYMENTS			
Infrastructure Development	8(d)	12,452,968	2,780,792
Rehabilitation Works and Upgrades	8(e)	-	26,784
Asset Acquisitions	8(f)	-	-
Youth and Women Empowerment Grant	8(g)	2,118,970	960,000
Youth and Women Loans	8(g)	5,964,128	-
Secondary Boarding Schools and Skills Dev	8(h)	7,381,687	1,509,698
Bursaries			
Administrative Costs	8(k)	2,925,949	1,240,890
Disaster Contingency	8(l)	-	-
TOTAL PAYMENTS		30,843,703	6,518,164
Increase/(decrease) in Cash		- 3,340,270	17,221,747
Cash at beginning of the year		19,502,029	2,280,282
Cash as at 31 December 2022		16,161,759	19,502,029

Note 8 explains the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Chirundu Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2023. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2023
- (c) Treasury and Financial Management Circular of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:
 - i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
 - ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2019 up to 2024.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January, 2024 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2024 and should end on 31st December, 2026. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Chirundu Town Council (CTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No. 2 of 2019, and the Public Finance Management Act No. 1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue on by the Ordinary/Special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorises Chirundu Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25 (1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- the purchase or sale of a commodity within the area of the District.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

b. Fees and Charges

Section 27 (1) of the Local Government Act No. 2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any licenses or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values. The Council recognises all short term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and;
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The key management personnel of the Council are:

- (a) the Mayor/Chairperson, elected councillors, co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority. The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Chirundu Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Chirundu Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

	2023	2022
	Kwacha	Kwacha
Residential Rates	196,627	62,048
Industrial / Commercial Rates	77,650	602,111
Hospitality	-	5,400
Personal Levy	50,885	26,135
Total	325,162	695,694

The Council relied on the Valuation Roll updated for the period 2018 – 2022 to determine the property rates receivable.

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2023	2022
	Kwacha	Kwacha
Fees and charges (a)	18,762,245	8,259,143
Land Development Charges (b)	372,450	378,954
Total	19,134,695	8,638,097

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2023	2022
	Kwacha	Kwacha
Consent Fees	2,050	50
Survey Fees	85,600	60,800
Building Inspection fees	10,900	5,800
Plan Scrutiny Fees	25,043	13,893
Rentals/Lease of Council's properties	-	13,200
Application Form Fees	119,860	177,390
Search Fees	-	100
Market Fees	26,972	157,582
Parking Fees	17,835,414	7,414,868
Bus Station Fees	20,460	7,154
Affidavit Fees	500	820
Refuse Disposal Fees	68,386	21,550
Notice of Marriage	11,090	15,660
Abattoir/Meat Inspection Fees	142	1,085
Communication Mast Levy	29,330	10,000
Land Record	3,000	-
Billboard and Banner	47,960	29,550
Lease of Council Transport	-	130,050
Illegal Vending Fees	450	450
Penalties	68,671	84,470
Change of ownership of plot	-	13,200
Change of Land Use	19,000	-
Ntemba fees	1,400	11,800
Truck Parking	-	-
Registration of clubs and societies	104,090	64,950
Ablution Fees	106,123	-
Electricity & Water connections	-	-
Other Fees and Charges/other income	5,805	24,721.34
TOTAL	18,592,245	8,259,143

Motor Vehicle In transit Fees (Motor Vehicle Levy/Parking Fees)

The Council prepared a successful Regulatory Impact Assessment (RIA) for the enforcement of the Motor Vehicle Levy for Outbound Vehicles, this initiative recorded an increase in collections in excess of 100% against target.

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges (Other charges comprises of new business and one off adhoc charges):

Charges Type	2023	2022
	Kwacha	Kwacha
Service Charges - Residential Plots	312,500	253,400
Service Charges - Industrial Plots	59,950	110,554
Premium Plots - Residential	-	7,500
Premium Plots - Commercial	-	7,500
Lease Charges	-	-
Other (New Business & One-Off Charges)	-	-
TOTAL	372,450	378,954

4. Licenses

A total of K220,900 cash receipts was raised from issuance of various licenses.

Licence Type	2023	2022
	Kwacha	Kwacha
Occupancy licence	8,000	-
Hawkers licence	6,100	2,100
Lodger licence	5,400	-
Wholesale licence	-	200
Liquor licence	115,300	61,525
Firearm and ammunition licence	19,950	22,400
Petroleum licence	66,130	87,200
Dog licence	20	7,085
Other licences	-	2,850
TOTAL	220,900	183,360

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated cash receipts by charging levies totaling K163,188 broken down as follows:

Type of Levy	2023	2022
	Kwacha	Kwacha
Livestock Levy	21,590	22,310
Bird Levy	-	527
Fish Levy	150	1,031
Pole Levy	-	974
Charcoal Levy	55,800	42,843
Sand Levy	39,786	27,060
Crop Levy	43,255	-
Miscellaneous levies	2,607	45,893
TOTAL	163,188	140,638

6. Permits

The Council generated cash receipts from issuing various permits totaling K1,522,608 broken-down as follows:

Type of Permit	2023	2022
	Kwacha	Kwacha
Health Permit	229,570	82,925
Burial Permits and Grave sites	5,198	2,200
Fire Certificates	358,290	176,225
Extension of business hours permits	12,764	13,900
Public permits (social gatherings, etc)	8,650	2,134
Distributor Permit	69,450	-
Herbalist permit	870	870
Bussiness permit	829,316	882,125
Other Permits	8,500	4,480
TOTAL	1,522,608	1,164,859

NOTES TO THE FINANCIAL STATEMENTS

7. Local Government Equalization Fund

a. Funding

	2023	2022
	Kwacha	Kwacha
Funding (January)	741,458.69	765,413.72
Funding (February)	697,977.18	673,659.15
Funding (March)	722,309.19	701,393.12
Funding (April)	737,309.19	731,854.20
Funding (May)	745,000.77	750,228.84
Funding (June)	738,250.77	752,048.14
Funding (July)	749,000.75	739,548.00
Funding (August)	749,000.77	746,048.13
Funding (September)	750,809.00	746,048.13
Funding (October)	749,000.77	694,905.60
Funding (November)	708,675.52	735,410.55
Funding (December)	744,309.16	694,964.58
TOTAL	8,833,102	8,731,522

b. Operational Expenditure

The Council applied amounts totalling K7,066,482 of LGEF receipts towards meeting operational expenses representing 80% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Local Authority applied amounts totalling K2,377,040 of LGEF towards meeting capital expenditure representing 20% of the total LGEF funding for the reporting period.

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

a) CDF Funding

	2023	2022
	Kwacha	Kwacha
Constituency		
Chirundu	27,261,470	23,739,911
Total Funding	27,261,470	23,739,911

NOTES TO THE FINANCIAL STATEMENTS

b) Loan Repayment

The Council did not realise revenue from loan repayments.

c) Other CDF Sources of Funding

The Council realised interests from loan repayments totalling K241,963.

d) Infrastructure Development

Infrastructure development works included construction works.

	2023	2022
Constituency	Kwacha	Kwacha
Construction of Primary schools	5,878,137	1,478,332
Construction of Secondary schools	-	85,000
Construction of Bridges	66,829	153,118
Construction of health post	571,208	250,005
Construction of Boreholes	2,415,981	564,332
Construction of Staff House	902,984	250,005
Construction of Feeder Roads	599,899	-
Purchase of School Desks	2,017,930	-
Total Infrastructure payments	12,452,968	2,780,792

e) Rehabilitation Works

	2023	2022
Constituency	Kwacha	Kwacha
Rehabilitation of classroom block	-	26,784
Total Rehabilitation payments	-	26,784

Rehabilitation works included renovation works.

f) Asset Acquisition

The Council did not acquire any assets during the period under review.

g) Youth and Women Empowerment Soft Loans

	2023	2022
Empowerment	Kwacha	Kwacha
Empowerment Grant	2,118,970	960,000
Total Soft Loans cost	2,118,970	960,000

NOTES TO THE FINANCIAL STATEMENTS

h) Youth and Women – Loans

	2023	2022
	Kwacha	Kwacha
Empowerment		
Empowerment Loans	5,964,128	-
Total Soft Loans cost	5,964,128	-

i) Secondary School and Skills Development Bursaries

	2023	2022
	Kwacha	Kwacha
Secondary Bursaries	-	1,018,330
Skills Training	7,381,687	491,368
Total Bursaries cost	7,381,687	1,509,698

j) Administrative Costs

	2023	2022
	Kwacha	Kwacha
Constituency		
Admin cost	2,925,949	1,240,890
Other	-	-
Total	2,925,949	1,240,890

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2023	2022
	Kwacha	Kwacha
Grants in Lieu of Rates	-	150,000
Grants from Cooperating Partners	-	27,720
Other	12,020	100,000
TOTAL	12,020	277,720

10. Borrowings

During the year under review, the Council did not receive any cash loan.

11. Council Commercial Venture

The Council realized a total of K77,959 from the Block Making Factory, that commenced operations on the 12th of September, 2023.

NOTES TO THE FINANCIAL STATEMENTS

12. Other Receipts

The Council recorded a total collection of K317,359 as Other Receipts, during the period under review. This is made of CDF loan recoveries and other income.

	2023	2022
	Kwacha	Kwacha
CDF Loan Recoveries	241,963	-
Other	75,396	410,627
Total	317,359	410,627

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2023	2022
	Kwacha	Kwacha
Salaries Division 1	2,703,058	2,555,834
Salaries Division 2	4,204,330	2,794,493
Salaries Division 3	4,783,682	3,415,443
Wages- Division 4	2,594,991	2,173,461
Other Emolument Costs	521,383	744,640
TOTAL	14,807,445	11,683,871

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2023	2022
	Kwacha	Kwacha
Office Running Costs	952,459	487,353
Building, Repair and Maintenance Costs	787,101	392,819
Plant, Machinery and Vehicle Running and Maint	1,672,636	1,088,628
Other Administrative Operating Costs	3,551,960	1,544,222
Requisities	528,759	435,588
Services	2,806,198	5,135,027
Travel Expenses	1,155,570	806,599
Training	341,551	907,111
Legal Costs	168,733	-
Others Costs	3,957,031	2,068,544
TOTAL	15,921,998	12,865,891

NOTES TO THE FINANCIAL STATEMENTS

15. Financial Charges

The Council did not incur any financial charges during the period under review.

16. Social Benefits

During the year, the Council did not record a total of K9,500,657 towards Social Benefits, broken down as K2,118,970 for CDF Empowerment Grants and K7,381,687 for CDF Secondary Boarding Schools and Skills Development Bursaries.

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2023	2022
	Kwacha	Kwacha
Plant & Equipment	3,484	964,453
Purchase of Motor Vehicle	-	867,519
Purchase of Water Bowser	-	1,267,178
Purchase of Office Equipment	336,120	500
Purchase of Office Furniture	541,878	-
Construction of Building & Structures	1,763,069	-
Others (CDF Infrastructure Development)	12,452,968	-
TOTAL	15,097,519	3,099,650

18. Financial Assets

Acquisition of financial assets involved the following payments:

	2023	2022
	Kwacha	Kwacha
Community Loans	5,964,128	-
Staff Advances	-	-
Others (Staff Imprest)	-	44,055
TOTAL	5,964,128	44,055

19. Loan Repayments

The Council did not obtain any loan or credit facility from the Councils Bankers or and other Commercial Bank.

NOTES TO THE FINANCIAL STATEMENTS

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2023:

Account Name	Account No	2023 Kwacha	2022 Kwacha
District Fund A/c	Zanaco -1806881300167	1,049,529	98,240
Capital A/c	Zanaco -1806878300140	149,536	1,308,139
Market A/c	Zanaco -1806870300165	45,212	12,740
CDF A/c	Zanaco -1806878300241	15,695,694	17,303,506
CDF Revolving A/c	Zanaco -1806878300342	466,064	2,198,523
Chief Retainers A/c	Zanaco -1806881300470	5,308	5,308
Development Plan A/c	Zanaco -1806882300176	71,826	66,660
D-Washer A/c	Zanaco -2009972300118	-	-
AIDS Task Force	Zanaco -1806881300571	-	-
Rural Water A/c	Zanaco -1806881300369	-	-
Investment A/c	Zanaco -5183976300139	144,201	15,850
Fire A/c	Zanaco -1806881300672	1,323	12,953
Salary A/c	Zanaco -1806881300773	3,483	33,541
TOTAL		17,632,176	21,055,460

c. Cash Equivalents

The Council did not hold any Treasury Bills by the end of the year, or any part of the year.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government effective 1st January, 2023. There were no subsequent approved adjustments to the budgets or approved supplementary provisions and approved budget, as can be seen below:

b. Budget Variances

The Council did not record any budget variance during the period under review.

• Local Taxes

The council planned to collect K450,730 in Local Taxes but only collected K325,162 resulting in a variance of K125,568 equivalent to 28%. The under collection was due to low compliance levels on the part of the general citizens and business community on the need to pay Property Rates. The Council is conversely undertaking a revision of the Valuation Roll to assist increase the number of rateable tax payers and payment compliance.

NOTES TO THE FINANCIAL STATEMENTS

- **Fees & Charges**
The council planned to collect K12,154,054 in Fees and Charges but instead collected K19,134,695 resulting in a variance of K6,980,641 equivalent to 57%. The over collection was as a result of the Councils preparation of a successful Regulatory Impact Assessment (RIA) for the enforcement of the Motor Vehicle Levy for Outbound Vehicles, this initiative recorded an increase in collections in excess of 100% against target.
- **Licences**
The council planned to collect K323,550 in Local Taxes but only collected K220,900 resulting in a variance of K102,650 equivalent to 32%. The under collection was due to low compliance levels on the part of the general citizens and business community on the need to pay annual licenses.
- **Permits**
The council planned to collect K1,920,300 in permits but only collected K1,522,608 resulting in a variance of K379,391 representing 21%. The under collection was due to low compliance levels on the part of the general citizens and business community on the need to pay Permits.
- **Other Grants**
The council planned to collect K150,000 as other receipts but only received K12,020 from the Ministry of Works and Supply, for borehole monitoring and supervision activities during the local rural borehole drilling project.
- **Use of Goods and Services**
The Council planned to spend K11,359,006 on Financial Assets, but spent K15,921,998 resulting in a variance of K4,562,992 representing 40% of the budget. The variance was attributable to the under-utilisation and carry forward of the 2022 CDF allocation.
- **Social Benefits**
The Council planned to spend K7,527,800 on Social Benefits made up of CDF Empowerment Grants and CDF Secondary Boarding Schools and Skills Development Bursaries. The Council however spent K9,500,657 resulting in a variance of K1,972,857 representing 28% of the budget. The variance was attributable to the under-utilisation and carry forward of the 2022 CDF allocation.
- **Financial Asset**
The Council planned to spend K3,226,200 on Financial Assets, but spent K5,964,128 resulting in a variance of K2,737,928 representing 85% of the budget. The variance was attributable to the under-utilisation and carry forward of the 2022 CDF allocation.

NOTES TO THE FINANCIAL STATEMENTS

24. Provision of Services

The Town Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

Type of Services	2023 Kwacha	2022 Kwacha
Printing	34,600	10,288
Advertisement and Publicity	54,221	52,307
Traditional ceremony	55,391	41,716
Public Functions and ceremonies	88,838	48,345
Boards, Councils and Committees expenses	281,816	47,536
Make zambia clean	1,015	550
Relief, Repatriation and Burial of Destitute	-	-
staff welfare and recreation(SPORTS)	126,727	64,930
Land Demarcation and Survey	1,898	263,999
Bush Clearing and Grass Cutting	9,267	9,067
Valuation of properties	-	-
Labour Day Expenses and Awards	60,290	26,650
Provision of fire services	424,745	305,816
Operations (Decentralisation and Local Government	10,898	25,000
Road Maintenance	65,505	315,069
Waste and Refuse Collection	447,957	211,142
Maintenance of street lights	49,942	16,110
Conferences, Semonars & workshops	492,544	280,226
Bank charges	84,048	58,555
Water facility supply	-	-
Sanitation supply	-	-
Market Facilities	-	-
Ward Development Fund	509,076	225,894
CDF Projects & Administration costs	11,851,247	2,816,514
Creation of Dump Sites	-	273,612
Creation of Dump Sites	-	41,701
Other Services	453,024	-
SUB TOTAL	15,103,047	5,135,027

NOTES TO THE FINANCIAL STATEMENTS

25. Property, Plant and Equipment

The Council had Property, Plant and Equipment valued at approximately K28,544,205 as at 31st December, 2023. This included CDF Infrastructure development valued at

	Office Furniture & Fittings	Office Equipment	Plant & Machinery	Motor vehicles	Building & Structure	TOTAL
	K	K	K	K	K	K'000
Opening balance	-	-	12,550,342	1,619,908	-	14,170,250
Additions	541,878	336,120	3,484	-	14,216,037	15,097,519
Revaluation	-	-	-	-	-	-
Re-classification	-	-	-	-	-	-
Depreciation (Less)	81,282	67,224	251,077	323,982	284,321	723,564
Closing balance	460,596	268,896	12,302,749	1,295,926	13,931,717	28,544,205

26. Investments in Other Entities

The Council held shares in the following entities:

NAME OF ENTITY	PRINCIPAL ACTIVITY	PERCENTAGE SHAREHOLDING
Lusaka Water Supply and Sewerage Company	Water supply and sewerage services	50%

The Council did not receive any dividends from its investments during the period under review.

27. Administered Transactions

The Council collected **Withholding Taxes** on behalf of Zambia Revenue Authority, as ZRA allows that collected amounts be deposited in the Council's own transit account before being transferred to its accounts.

	2023 Kwacha	2023 Kwacha
ZRA Cash on 01/01/2023	-	-
ZRA Cash collected in the year	11,790	15,720
	11,790	15,720
Less transferred to ZRA	-	-
ZRA Cash on 31/01/2023	11,790	15,720

NOTES TO THE FINANCIAL STATEMENTS

28. Related Party Disclosures

The following disclosures are made in the financial statements of Chirundu Town Council:

a. Fringe benefits Disclosures

The Council Chairman was provided with a pool vehicle, an office and a shared personal assistant.

b. Remuneration of the Councilors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Chirundu Town Council are:

Aggregate Remuneration (Monthly Gross)	K39,000
Number of persons	13

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration (Monthly Net Year End)	K225,254.83
Number of persons	17

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

The Council did not record any external assistance during the year under review.

30. Third Party Payments

Chirundu Town Council did not benefit from payments made by third parties.